

Tesla Inc. - FY2023 Financial Report

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ITEM 7. EXECUTIVE OVERVIEW AND REVENUE ANALYSIS

Total revenues were \$96,773 million in 2023, representing 19% YoY growth from \$81,462 million.

Automotive regulatory credits contributed \$1,790 million to automotive revenues.

Total gross profit was \$17,660 million, down 15% due to price reductions.

Automotive gross margin excluding regulatory credits compressed to 18.2%.

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FINANCIAL ANOMALIES AND RISK FACTORS

Operating margin fell sharply from 16.8% in 2022 to 8.2% in 2023 due to price cuts.

Operating income decreased to \$8,891 million from \$13,656 million in 2022.

Total debt and finance leases excluding vehicle financing stood at \$2,857 million.

Free cash flow dropped 42% YoY to \$4,358 million owing to elevated capital expenditures.